Question #1 of 22

Question ID: 1675655

A member would *most likely* violate the Standard regarding duties to clients by:

A) adding a risky derivative security to the portfolio of a client with moderate risk tolerance.

B) recommending purchase of securities without a reasonable inquiry into the investment experience of the client.

C) executing a client order for a security that the member believes is greatly overvalued.

Explanation

Standard III(A): Loyalty, Prudence, and Care requires members acting as advisors to make a reasonable inquiry into the client's investment experience, risk and return objectives, and financial constraints before making investment recommendations. Investment decisions must be made based on a total portfolio approach, rather than the quality of an individual investment in isolation. Some members are not acting as investment advisors and may only have a duty to provide the best execution of client orders.

(Module 20.4, LOS 20: III(A))

Question #2 of 22

Question ID: 1675660

An analyst meets with a new client. During the meeting, the analyst sees that the new client's portfolio is heavily invested in one over-the-counter stock. The analyst has been following the stock and thinks it will perform well in the long run. The analyst arranges through a brokerage firm to simultaneously sell a large number of shares of the stock via a series of cross trades from the new client's portfolio to various existing clients. He arranges the trades to be executed at a price that approximates the current market price. This action is:

A) a violation of Standard III(A): Loyalty, Prudence, and Care.

B) not in violation of the Standards.

C) a violation of Standard III(B): Fair Dealing.

Explanation

There is no violation. It is in the best interest of the client to be diversified, and selling via a series of cross trades will likely reduce price impact costs when compared to selling directly into the market. The analyst appears to have reasonable basis for putting the securities in the accounts of other clients.

(Module 20.4, LOS 20: III(B))

Question #3 of 22

Question ID: 1675659

An investment advisor goes straight from a research seminar to a meeting with a prospective new client with whom she has never been in contact. The advisor is very excited about the information she just received in the seminar and begins showing the prospect the new ideas that her firm is coming up with. This is *most likely* a violation of:

A) Standard III(C): Suitability. ✗

B) Standard III(B): Fair Dealing. ✗

C) Standard III(B): Fair Dealing and Standard III(C): Suitability. ✓

Explanation

It is a violation of Standard III(B) because the advisor should act first on behalf of existing clients, whose needs and characteristics she already knows. It is a violation of Standard III(C) because she has never met the prospect and does not know if the new ideas are appropriate for the prospect. Thus, the violation of both standards is the correct response.

(Module 20.4, LOS 20: III(B))

Question #4 of 22

Question ID: 1675656

In securing the shares for all accounts under her management, Linda Kammel of Northwest Futures purchased three blocks of shares at three different prices. She then allocated these shares by placing shares from the first block in accounts with surnames beginning with A–G. The second was allocated over accounts H–P, and the third over Q–Z. This action is:

A) consistent with her responsibilities under the Code and Standards. ✗

B) permissible only if the clients are informed of the allocation procedure. ✗

C) not permissible under the Code and Standards. ✓

Explanation

Standard III(B) requires a member to deal fairly with all clients when taking investment actions. Because she knew at the outset that she was going to place shares in all accounts, regardless of the first letter of the surname, all accounts must participate on a pro rata basis in each block to conform to the Standard. Her actions constitute a violation of the Standard concerning fair dealing.

(Module 20.4, LOS 20: III(B))

Question #5 of 22

Question ID: 1675654

While trading on behalf of a pension account, an analyst receives special research reports from the brokerage firm with whom she is doing the trades. Such an activity is:

A) a violation of only the Code of Ethics. ✗

B) a violation of both Standard III(A): Loyalty, Prudence, and Care, and the Code of Ethics. ✗

C) not in itself a violation of Standard III(A): Loyalty, Prudence, and Care, nor the Code of Ethics. ✓

Explanation

An analyst can receive research from a brokerage firm with whom she is trading on behalf of a client. The analyst should inform the client of the arrangement. The analyst is more likely to violate Standard III(A) by obtaining nonresearch services or, worse yet, personal benefits from the brokerage firm.

(Module 20.4, LOS 20: III(A))

Question #6 of 22

Question ID: 1675661

Which of the following would be a violation of Standard III(B): Fair Dealing?

A) Trading for regular accounts before discretionary accounts. ✓

B) Having well-defined guidelines for predissemination. ✗

C) Limiting the number of employees privy to recommendations and changes. ✗

Explanation

Do not discriminate against a client when disseminating investment recommendations. If the firm offers different levels of service, this fact must be offered and disclosed to all clients. The other choices are necessary parts of the Standard. The Standard actually says to have published personal guidelines for predissemination, which implies that the guidelines be well defined.

(Module 20.4, LOS 20: III(B))

Question #7 of 22

Question ID: 1675648

Tony Calaveccio, CFA, is the manager of the TrustCo small-cap venture fund in Toronto. He places trades for the fund with River City Brokerage (River City). River City provides Calaveccio with soft dollars to purchase research. River City also deals in municipal bonds, some of which Calaveccio holds in his personal portfolio. He periodically uses the soft dollars to request research reports on various small-cap stocks and on the status of the municipal bond market and issues that he holds. These actions are:

A) not in violation of the Code and Standards. ✗

B) in violation of his fiduciary duties regarding the municipal bond research, but not so regarding the research on the small-cap issues. ✓

C) in violation of his fiduciary duties regarding both the small-cap research and the municipal bond research. ✗

Explanation

The issue at hand is the member's fiduciary responsibilities in handling soft dollars, which are technically the property of the client. Standard III(A): Loyalty, Prudence, and Care delineates the member's fiduciary responsibilities regarding soft dollars. Because municipal bond research is clearly not relevant to the small-cap fund holders, he is clearly using the soft dollars to obtain research for his personal benefit and is in violation of the Standard.

(Module 20.4, LOS 20: III(A))

Question #8 of 22

Question ID: 1675647

Which of the following is *least likely* required of fiduciaries who are responsible for pension plans?

A) Supporting the sponsor's management during proxy fights. ✓

B) Acting solely in the interests of plan participants. ✗

C) Judging investments in the context of the total portfolio.

Explanation

Under Standard III(A): Loyalty, Prudence, and Care, fiduciaries must evaluate management's proposals during proxy fights to see if they are in the best interests of the plan participants. If management's ideas are justifiable and reasonably ensure plan participants' betterment, then fiduciaries can support them. If management is only trying to further its own objectives, especially at the cost of plan participants, then fiduciaries must vote against management in proxy fights.

(Module 20.4, LOS 20: III(A))

Question #9 of 22

Question ID: 1675653

Tony Calaveccio, CFA, is the manager of the TrustCo small-cap venture fund in Toronto. Calaveccio places a trade with Quantco Brokerage. While Calaveccio's part of the transaction was conveyed correctly to Quantco, there was a trading error made in Calaveccio's account due to a slipup within Quantco. Calaveccio realizes that the error has taken place and informs his contact at Quantco. Calaveccio allows Quantco to cover the error, with no cost to TrustCo. This is:

A) a violation of Calaveccio's duty to his employer.

B) a violation of Calaveccio's fiduciary duties.

C) permissible under CFA Institute Standards.

Explanation

The issue is similar to an allocation of soft dollars. Clearly, if the broker absorbs the loss, they expect to make up the difference in some way. However, because the error was on the part of Quantco Brokerage, Calaveccio is under no obligation to cover the cost of the trading error. Moreover, no reasonable observer expects that there exists any implied future allocation of trades to Quantco in return for correcting their own mistake. There is no violation of Standard III(A): Loyalty, Prudence, and Care.

(Module 20.4, LOS 20: III(A))

Question #10 of 22

Question ID: 1675652

An independent analyst has only one client. One of the client's largest holdings is a brokerage firm. Because of the large holding by his client, the brokerage firm recently began allowing the analyst to tap into the firm's computer network to use the firm's research facilities. This is allowable as long as the analyst:

A) only discloses the relationship to the client. ✗

B) uses the resources to help manage the client's account and discloses the relationship to the client. ✓

C) only uses the resources to help manage the client's account. ✗

Explanation

According to Standard III(A): Loyalty, Prudence, and Care, the analyst must put the client first and inform the client of any possible conflicts of interest. The analyst must channel any benefits derived from his service to the client, back to the client, and inform the client of the benefits.

(Module 20.4, LOS 20: III(A))

Question #11 of 22

Question ID: 1675649

To comply with Standard III(A): Loyalty, Prudence, and Care, an analyst needs to:

A) comply with applicable fiduciary duty. ✓

B) both comply with applicable fiduciary duty and liquidate his personal holdings of all stocks that his client owns. ✗

C) liquidate his personal holdings of all stocks that his client owns. ✗

Explanation

To comply with Standard III(A), the analyst must use reasonable care and exercise prudent judgment, always act for the benefit of clients, and determine and comply with applicable fiduciary duty.

(Module 20.4, LOS 20: III(A))

Question #12 of 22

Question ID: 1675657

A money management firm has the following policy concerning new recommendations: When a new recommendation is made, each portfolio manager estimates the likely transaction size for each of their clients. Clients are notified of the new recommendation in the order of their estimated transaction size—largest first. All clients have signed a form where they acknowledge and consent to this allocation procedure. With respect to Standard III(B): Fair Dealing, this is:

A) not a violation because the clients have signed the consent form. ✗

B) not a violation because the clients are aware of the policy. ✗

C) a violation of the Standard. ✓

Explanation

Such a policy is a violation of the Standard, and client acknowledgment and/or consent does not change that fact.

(Module 20.4, LOS 20: III(B))

Question #13 of 22

Question ID: 1675651

An analyst with his own money management firm trades on behalf of several large pension funds. The analyst now performs all trades through a particular brokerage firm because the brokerage provides his firm with a no-interest line of credit if paid within 60 days. The line of credit is available to all brokerage clients. The brokerage provides the analyst with personal account privileges that he would not otherwise be eligible for. The brokerage also provides the analyst with free research reports on many companies. Which of these benefits are violations of Standard III(A): Loyalty, Prudence, and Care?

A) Neither the personal account privileges nor the research reports. ✗

B) The personal account privileges. ✓

C) The research reports. ✗

Explanation

The personal account privileges are clearly a violation. The no-interest line of credit could be a violation if the analyst does not factor in the benefits when determining the fees of the clients, but it is not a violation per se. Research reports are least likely to be a violation.

(Module 20.4, LOS 20: III(A))

Question #14 of 22

Question ID: 1675658

Which of the following statements is *least accurate* regarding being a part of Standard III(B): Fair Dealing?

A) Shorten the time between decision and dissemination. ✗

B) Maintain a list of clients and their holdings. ✗

C) At the same time, notify clients for whom an investment is suitable of a new investment recommendation. ✓

Explanation

All of these are part of Standard III(B), except notifying clients at the same time. Standard III(B) states that clients for whom the investment is suitable should be notified at *approximately* the same time.

(Module 20.4, LOS 20: III(B))

Question #15 of 22

Question ID: 1675650

Which of the following is a possible breach of fiduciary duties by a CFA Institute member who manages assets on behalf of a client?

A) Neither voting all proxies of stocks the client owns nor using directed brokerage. ✗

B) Using directed brokerage. ✗

C) Voting all proxies of stocks the client owns. ✓

Explanation

Proxies have economic value to the client. To comply with Standard III(A), the analyst is obligated to vote proxies in an informed and responsible manner. A cost-benefit analysis may show that voting all proxies may not benefit the client, so voting proxies may not be necessary in all instances. Directed brokerage occurs when the client requests that a portion of the client's brokerage be used to purchase services that directly benefit the client. Although this may prevent best execution, it does not violate the Standards as it was directed by the client, not the brokerage firm.

(Module 20.4, LOS 20: III(A))

Question #16 - 21 of 22

Question ID: 1675640

With respect to Black's instruction to execute the trade for Talbert, according to the Standards, Wood should:

A) execute the trade immediately. ✓

B) execute the trade only after consulting the firm's legal counsel. ✗

C) not execute the trade because he has not met Talbert himself. ✗

Explanation

Because Black is Wood's supervisor and has the CFA designation, and Wood sees nothing wrong, Wood has no reason to take any intermediate action.

(Module 20.4, LOS 20: III(A))

Question #17 - 21 of 22

Question ID: 1675641

With respect to the report on ATX Corporation that Black asked Wood to write, which of the following must Wood include in the report?

A) Black is on the board of ATX and the position of ATX in the trust fund of Wood's children only. ✓

B) Wood does not have the CFA designation and that Black is on the board of ATX. ✗

C) Wood does not have the CFA designation and the position of ATX in the trust fund of Wood's children. ✗

Explanation

This question is related to Disclosure of Conflicts, Standard VI(A). Black's relationship with ATX Corporation must be disclosed in the research report because it could impair Black's ability to make an unbiased judgment. Under the same standard, the position of ATX in the children's trust fund must be mentioned because it is beneficial ownership that could reasonably impair Wood's judgment. Even though Wood is the one writing the report, both potential conflicts need to be disclosed because Black is supervising Wood. The fact that Black requires Wood to get her approval, which is congruent with Standard IV(C), is simply a routine firm policy that does not need reporting. It is not required to mention that an analyst does not have the CFA designation.

(Module 20.4, LOS 20: III(A))

Question #18 - 21 of 22

Question ID: 1675642

With respect to the pension fund for Evergreen International, Black's fiduciary duty is:

to the participants, beneficiaries, and management of Evergreen International.

A) Therefore, Black should increase the portion in international equities as long as it is within policy statement guidelines. ✗

owed to the participants and beneficiaries of Evergreen International.

B) Therefore, Black should continue to manage the fund in their best interest, regardless of the management's request. ✓

primarily to the management and stockholders of Evergreen International. Black

C) should follow management's direction to potentially increase the value of the company. ✗

Explanation

This question relates to Standard III(A): Loyalty, Prudence, and Care. Black's fiduciary duty is to the participants and beneficiaries of the pension plan, according to ERISA. Black should act in their best interest in managing the funds.

(Module 20.4, LOS 20: III(A))

Question #19 - 21 of 22

Question ID: 1675643

With respect to the pension fund for Evergreen International, after Wood notices Black's actions concerning the management's instructions, he should:

A) try to distance himself from Black's activities. ✓

B) report Black's activities to the police. ✗

C) do nothing because he knows what Black said about the covered call properties, and her record is true. ✗

Explanation

According to Standard I(A): Knowledge of the Law, members and candidates must know the law and not knowingly assist in breaking the law. When questionable activities occur like Black's option trading, the best course of action for an associate is to distance himself or herself and seek legal counsel.

(Module 20.4, LOS 20: III(A))

Question #20 - 21 of 22

Question ID: 1675644

With respect to Wood preparing to set up his own business, Wood violated the Standards:

A) in his communication with his friend. ✗

B) by setting up trading accounts in the name of his company. ✗

C) in his communication with his cousin. ✓

Explanation

Wood violated Standard IV(A): Loyalty to Employer by contacting his cousin and advising him because the cousin could potentially be a client for his current firm. Because the friend had said he would not do business with Black, and Wood gave him no instructions, that was not a violation. Note that Standard IV(A) covers competing with an employer, not preparing to compete. Preparing to compete by setting up an office and other related activities are not a violation of the Standards.

(Module 20.4, LOS 20: III(A))

Question #21 - 21 of 22

Question ID: 1675645

Violations with respect to the use of the CFA designation occurred with:

A) the letters sent by Wood to his friend and cousin, but not with the printing of the business cards by Black. ✓

B) both the printing of the business cards by Black and the letters sent by Wood to his friend and cousin. ✗

C) the printing of the business cards by Black, but not the letters sent by Wood to his friend and cousin. ✗

Explanation

Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program, limits the use of the CFA designation to those who have passed all three levels of the CFA program, have received their charters, and are charterholders in good standing. Wood may not put "CFA (expected 200X)" following his name because it is a violation of the Standard. However, he may state that he is a Level III candidate in the CFA program, if he wishes. The printing of the business cards was not a prudent move, but because they are taking care not to distribute them until the appropriate time, no violation has occurred. In some sense, it is like a research report written in advance of an anticipated event. As long as the report is not released until after the event, no violation has occurred.

(Module 20.4, LOS 20: III(A))

Question #22 of 22

Question ID: 1675646

Tony Calaveccio, CFA, is the manager of the TrustCo small-cap venture fund in Toronto. He places trades for the fund with Canadian Brokerage. Canadian provides Calaveccio with soft dollars to purchase research. He uses these soft dollars to get research reports from Canadian Brokerage's research department regarding the issues currently held in the small-cap portfolio, and for firms that he is contemplating adding to the portfolio. By using soft dollars in this manner, Calaveccio has:

A) not violated the Code and Standards.

B) violated the Code and Standards by acquiring research on issues contemplated for purchase, but not by acquiring research on currently held issues.

C) violated the Code and Standards by acquiring research on issues that the fund already holds, but not by acquiring research on issues contemplated for purchase.

Explanation

Soft dollars are the property of the client (in this case, the holders of the shares of the small-cap venture fund). Standard III(A): Loyalty, Prudence, and Care delineates the member's responsibilities. Because he is clearly using the soft dollars to obtain research that is directly applicable to his professional duties, there is no violation of the Standard.

(Module 20.4, LOS 20: III(A))